

Costco Wholesale Corporation (NASDAQ: COST)

Comprehensive Fundamental Analysis, Valuation & Investment Thesis

HOLD / WATCH | Business Conviction 9/10 | Reference ~\$948 | Base FV \$925

Report date: August 9, 2026 | Latest earnings: Q3 FY2026 | Portfolio baseline: retirement-portfolio-18.xlsx

Executive Summary

Recommendation: HOLD / WATCH FOR ENTRY. Business conviction 9/10; stock conviction 5/10. Costco is an exceptional business but a demanding stock. Q3 FY2026 strengthened the fundamental thesis: net sales rose 11.6% to \$69.15B, adjusted comparable sales rose 6.6%, membership-fee income rose 10.7% to \$1.37B, and diluted EPS rose 15% to \$4.93. At an August 7 reference price near \$948, valuation—not business quality—is the principal constraint.

Base fair value: \$925. Costco can compound intrinsic value through membership growth, Executive penetration, warehouse expansion, digital productivity and pricing trust. The risk is that strong earnings growth is offset by P/E normalization.

Research Dashboard

Dimension	Assessment	View
Business quality	Exceptional	One of retail's strongest membership/value flywheels.
Growth	Strong	Q3 sales +11.6%; adjusted comps +6.6%.
Membership	Excellent	82.9M paid members; U.S./Canada renewal 92.2%.
Digital	Accelerating	Adjusted digitally enabled comps +20.8%.
Valuation	Very demanding	Mid-40s trailing P/E creates multiple-compression risk.

Business & Industry Analysis

Costco operates a membership warehouse model built around limited assortment, very high inventory turns and structurally low merchandise markups. The model exchanges gross margin for customer trust, traffic and scale; membership fees monetize the loyalty created by that value proposition.

At Q3 Costco operated 931 warehouses, including 639 in the U.S./Puerto Rico and a growing international network. Expansion remains a durable growth lever because mature warehouse economics are attractive and international penetration remains relatively low.

Moat Analysis

Costco's moat is behavioral and economic. Scale purchasing, trusted pricing, Kirkland Signature, high renewal, recurring membership fees, dense traffic and a distinctive employee/operating culture reinforce one another. Members prepay for access, allowing Costco to reinvest merchandise economics into lower prices rather than maximize gross margin per transaction.

Management & Capital Allocation

CEO Ron Vachris has maintained Costco's long-standing philosophy: protect member value first, expand carefully and avoid using pricing power simply because it is available. Capital allocation prioritizes warehouses, logistics and technology, then regular dividends and periodic special dividends. The conservative balance sheet remains a strategic asset.

Financial & Earnings Analysis

Metric	Q3 FY2026	Read-through
Net sales	\$69.15B (+11.6%)	Strong traffic and ticket.
Net income	\$2.19B (+15%)	Profit grew faster than sales.
Diluted EPS	\$4.93 vs \$4.28	Healthy earnings growth.
Adjusted comps	+6.6%	High-quality core growth.
Digital comps	+20.8% adjusted	Material incremental growth engine.
Membership fees	\$1.37B (+10.7%)	Fee increase plus member/mix growth.

For the first 36 weeks, net sales reached \$203.37B, up 9.6%, while net income rose to \$6.23B from \$5.49B.

Membership Economics

Q3 ended with 82.9M paid members and about 148.5M cardholders. Executive memberships reached 41.2M, up 9.6%. U.S./Canada renewal improved to 92.2%; worldwide renewal held at 89.7%. Management said the 2024 membership-fee increase accounted for only a little more than one-quarter of membership-income growth; excluding the fee increase and FX, membership income still grew about 7%.

What Is Working / What Is Weakening

Working: mid/high-single-digit adjusted comps; Executive growth; >20% digital growth; record U.S. gas volumes; international expansion; strong membership economics.

Weakening / unresolved: modest core-margin pressure from deliberate price investment; online-acquired members renew somewhat less; fuel/transport costs; tariff and commodity uncertainty; and a valuation that leaves little tolerance for deceleration.

Recent Sales Momentum

June net sales rose 10.6% to \$29.24B. Total-company comparable sales rose 8.8%, or 6.2% excluding gasoline and FX; U.S. adjusted comps were 7.6%. Digitally enabled comps rose 20.9%. Monthly sales provide unusually frequent demand visibility, but at Costco's valuation even modest monthly deceleration can create outsized stock volatility.

Margins, Cash Flow & Balance Sheet

Costco's low gross margin is a feature of the model. Q3 reported gross margin was 11.04%, down 21 bps, but excluding gas inflation it was essentially flat. Core-on-core margin declined 9 bps as Costco invested in lower prices on products such as eggs and beef. That behavior reinforces the moat even when it temporarily limits margin expansion.

Dividend & Shareholder Returns

The regular dividend yield is modest, but Costco periodically pays special dividends when excess cash accumulates. Long-term shareholder return should primarily come from EPS growth and intrinsic-value compounding, with special distributions as an additional source of return.

Valuation

At roughly \$948, a trailing earnings base around \$20–21 implies a P/E in the mid-40s. Costco deserves a premium, but the current multiple requires sustained excellent execution.

Case	EPS Power	Multiple	Fair Value	Prob.
Bear	\$22–23	30–33x	\$675–750	20%
Base	\$24–25	37–39x	\$900–950	55%
Bull	\$26–27	42–44x	\$1,100–1,190	25%

Base fair-value midpoint: ~\$925.

Bull / Base / Bear Underwriting

Bull: 6–8% adjusted comps, expanding Executive mix, rapid international growth and sustained 40x-plus valuation. **Base:** comps normalize to 5–6%, membership and units remain healthy, EPS compounds high-single/low-double digits, and the multiple normalizes toward the high-30s. **Bear:** traffic/ticket slow and the multiple resets to the low-30s, creating substantial downside even without a business crisis.

Variant Perception

Consensus is right that Costco is one of the world's best retailers. The investment debate is different: a business compounding earnings at 9–11% can still produce mediocre stock returns if the P/E falls from the mid-40s to the high-30s. The best opportunity is likely a valuation dislocation without deterioration in membership economics.

Catalysts & Checkpoints

Checkpoint	Timing	What Matters
Monthly sales	Monthly	Adjusted comps, traffic/ticket, digital.
Q4 FY2026	Sept. 24	Renewal, membership fees, core margins, FY27 commentary.
Executive penetration	Quarterly	Growth faster than total membership.
International expansion	Multi-year	New warehouse productivity.

Explicit Thesis-Break Conditions

Reduce conviction if U.S./Canada renewal persistently falls below ~90%; traffic is negative for multiple quarters while competitors gain share; management weakens the value proposition to maximize margin; international warehouse returns disappoint; Executive penetration structurally stalls; or digital spending fails to improve engagement and incremental sales.

Expected Return Drivers — 1 / 3 / 5 / 10 Years

Horizon	Driver	Base View
1 year	Multiple + comps	Muted expected return near base fair value.
3 years	Membership + units	Mid/high-single-digit annualized if multiple normalizes.
5 years	Warehouse runway + Executive mix	High-single/low-double-digit intrinsic-value growth.
10 years	Global membership flywheel	Excellent compounding business; entry valuation is crucial.

Portfolio Fit

Portfolio source: retirement-portfolio-18.xlsx, the designated baseline. COST is **not currently a direct holding**. Workbook portfolio value is approximately **\$1,671,161**.

Costco would add a high-quality consumer-staples/retail compounder with less economic cyclicity than LOW/HD and a different earnings engine from the portfolio's technology holdings. A 0.5–1.0% starter is more defensible than a full position at the current valuation; larger sizing becomes more attractive after valuation compression.

Final Recommendation

HOLD / WATCH FOR ENTRY — business conviction 9/10; stock conviction 5/10. Costco is a company worth owning for a decade, but not at any price. My base fair-value range is \$900–950. A pullback into the mid-\$800s would improve expected returns materially; a deeper dislocation near \$800 with intact membership metrics would support a stronger Add rating.

Evidence Confidence & Sources

Evidence confidence is high for Q3 financials, membership metrics, June sales and warehouse count; medium for forward valuation assumptions. Data cutoff: August 9, 2026. Q4 FY2026 earnings are scheduled for September 24, 2026. Bigdata institutional research was attempted but the connected quota was exhausted, so the report uses Costco primary IR materials and current reputable market sources. Portfolio baseline: retirement-portfolio-18.xlsx.

Primary research sources include Costco Q3 FY2026 results (May 28, 2026), June sales results (July 8, 2026), Costco Investor Relations/events, FY2025 reporting and Reuters Q3 coverage.